

October/November 2024 13

1-B:

An economic problem generally means the problem of making choices that occurs because of the scarcity of resources. It arises because people have unlimited desires but the means to satisfy that desire is limited. Therefore, satisfying all human needs is difficult with limited means.

- A- consumers wants are unlimited
- B- correct as explained above
- C- irrelevant to economic problem
- D- no, there is limited supply of gold

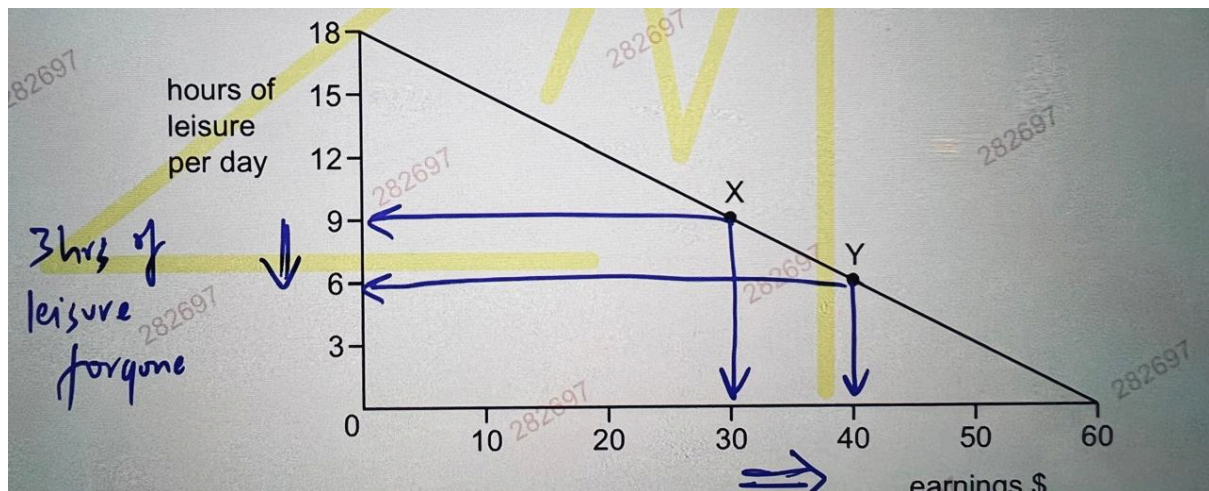
2-A:

The factors of production are the resources used by businesses to create goods and services. There are four main factors: land, labor, capital, and entrepreneurship.

Aircraft is the capital while pilots are Labours. Hence makes option A the correct one.

3-C:

Opportunity cost is the value of the next best alternative that is forgone when a choice is made. It represents what you give up when you select one option over another.



4-D:

When there is excess demand where quantity demand exceeds quantity supply, there is a chance that excess demand would result in a rise in the price of a good.

Likewise, excess supply means quantity supply exceeds quantity demand, this would lead to fall in price of a good.

The world price for cocoa is falling. That means that there would be excess supply only as excess demand would end up raising the price of cocoa. Therefore option A and C are eliminated.

Now, prices of cocoa products have been rising, which indicates that advertising on such products is also increasing as an increase in advertising will increase the demand and therefore prices. Hence, option B is also eliminated and we find our correct answer option D.

5-B:

price (\$)	demand (kg)	supply (kg)	
10	20	2	50% +
20	16	5	3
30	12	8	7.5
* 40	10	10	12 (New equilibrium)
50	8	12	15
			18

The old equilibrium is at price of \$40 where $d=s$

At this point, the supplier total revenue is \$400, $\$40 \times 10 = \400.00

After 50% increase of supply, new equilibrium is at \$30

At this point, the total revenue is \$360, $\$30 \times 12 = \360.00

We can see the total revenue falls by \$40 after an increase of supply. Therefore option B is a correct option.

6-A:

A Market Shortage occurs when there is excess demand- that is quantity demanded is greater than quantity supplied. In this situation, consumers won't be able to buy as much of a good as they would like.

A- quantity demand would fall, this helps to eliminate the shortage

B- if prices are reduced then the quantity demanded will increase and shortage will further increase

C- if quantity supplied falls, then shortage also increases

D- fall in number of firms also reduces the supply and hence shortage increases

7-C:

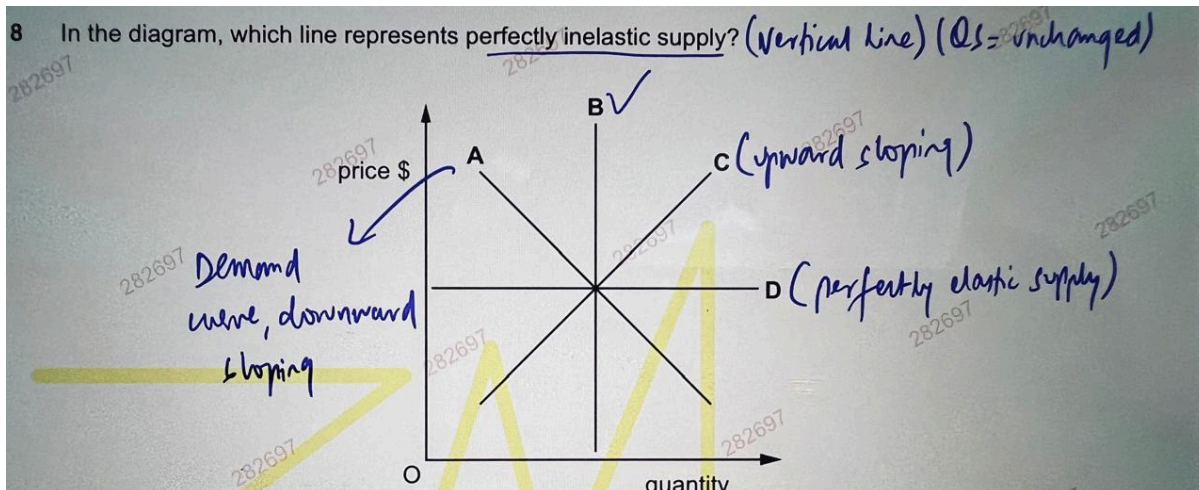
PED is calculated as the percentage change in quantity demanded divided by the percentage change in price.

% change in quantity demanded: $20\text{kg} - 40\text{kg} / 40\text{kg} = -50\%$

% change in price: $\$6 - \$5 / \$5 = 20\%$

$-50\% / 20\% = -2.5$

8-B:



9-C:

External benefits, also known as positive externalities, are uncompensated benefits that an economic activity imposes on a third party. Essentially, when someone benefits from an action without having to pay for it, that's an external benefit.

$$SB = PB + EB$$

$$SB - PB = EB$$

10-A:

The functions of a central bank can be discussed as follows: Currency regulator or bank of issue, lender of last resort, bank to the government, controlling of monetary policy etc. Commercial banks play a crucial role in the economy by providing essential financial services. Their key functions include accepting deposits, providing loans, facilitating payments, offering foreign exchange services, and assisting with investments.

Option A is a function of commercial banks, while other options are the functions of central banks.

11-C:

Inflation rate should be low as low inflation rate protects the value of money.

Interest rate should be higher as higher interest rates will encourage savers to save more and attain higher returns on their savings

Unemployment rate should also be lowered as low unemployment means higher employment, more incomes and thus more savings.

Hence option C is correct option

12-B:

A- longer period of training would increase the time for nurses to join the services. This wouldn't increase the supply of nurses

B- better conditions will increase the willingness of nurses to enter the market. Thus increasing the supply

C- high national minimum wage would increase the surplus of nurses but only few nurses can be employed due to higher wages

D- reducing grants would increase the cost and thus supply could fall

13-B:

A- it is not, as companies are based in large cities

B- yes this can be a reason, as to compensate these costs, special allowances can be given

C- if fewer job opportunities then why pay allowances to the employees

D- this affects standard pay rates

14-B:

A trade union is an organized association of workers formed to protect and advance their collective interests, primarily through negotiations with employers. These interests include wages, benefits, working conditions, and job security.

A- if workers have to negotiate individually, then what's the point of trade unions?

B- yes, this is what trade unions aims for

C- not a role of trade unions

D- working conditions doesn't affect pay rates

15-C:

total revenue is the entire income a firm or business receives from selling its goods or services. It's calculated by multiplying the quantity of items sold by their price.

Price multiplied by the quantity sold

$TR = P \times Q$

16-D:

At first, there were several cafes in cities. Now, some of the cafes have been closed, that means there are fewer sellers or cafes in the market and there is decreased supply. This results in higher prices due to a leftward shift in supply. Also prices have been increased that results in higher profits.

17-C:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

Hence option C is correct aim

While other aims mentioned is a microeconomics objectives

18-B:

earnings \$	total income tax paid \$
5000	1000
8000	2000
9000	3000

Handwritten annotations on the table:

- Next to 5000: 60% (with a bracket from 5000 to 3000)
- Next to 8000: 12.5% (with a bracket from 8000 to 3000)
- Next to 9000: 100% (with a bracket from 9000 to 3000)
- Next to 1000: 50% (with a bracket from 1000 to 3000)
- Next to 2000: 50% (with a bracket from 2000 to 3000)
- Next to 3000: 50% (with a bracket from 3000 to 3000)

Progressive taxation means higher tax rates for those with higher income or more wealth, so that those who earn or have more are taxed at a higher rate.

From the above table, we can see that earnings are also increasing and total income tax paid also increases, that is progressive taxation. This makes option B correct.

While indirect tax is a regressive tax that burdens the poor more than the rich class.

Proportional taxes increase at the same percentage that is not a case in above table

19-D:

Monetary policy involves central banks' use of instruments to influence interest rates and/or money supply in the economy with the objective to keep overall prices and financial markets stable.

A- this is an example of expansionary fiscal policy

B- it is related to supply or cost push inflation

C- same as above

D- yes its affects the monetary policy

20-C:

GDP represents the total value of goods and services produced within a country's borders in a specific time period (usually a year).

GDP per capita is a measure of the total economic output of a country per person. It is calculated by dividing the country's gross domestic product (GDP) by its total population.

21-B:

Economic growth refers to an increase in the production of goods and services in an economy over a specific period, often measured as the percentage change in real GDP.

We have to identify the consequences of economic growth on individuals and the economy individually

In the case of individual impact, absolute poverty will reduce as economies grow. Yes it increases the average income and variety of goods and services and reduces the level of unemployment. Therefore, option A and D eliminated by itself.

We left with two options B and C to find out the correct one

In the case of the economy, economic growth increases the tax revenue for the government as the average income of individuals increases and there might be an increase in export revenue as more goods and services are produced and hence increased exports. Therefore, option C also eliminates and we find out our correct option, that is option B.

22-C:

The labor force, or workforce, is the total number of people within a given population who are currently employed plus the number of people who are unemployed and actively seeking work.

From the above definition we can understand that option C is only relevant to the question. Hence it is correct.

23-D:

Weights represent the proportion of income spent on a commodity.

A- no data regarding price

B- no data

C- no data

D- yes, from 30 to 35

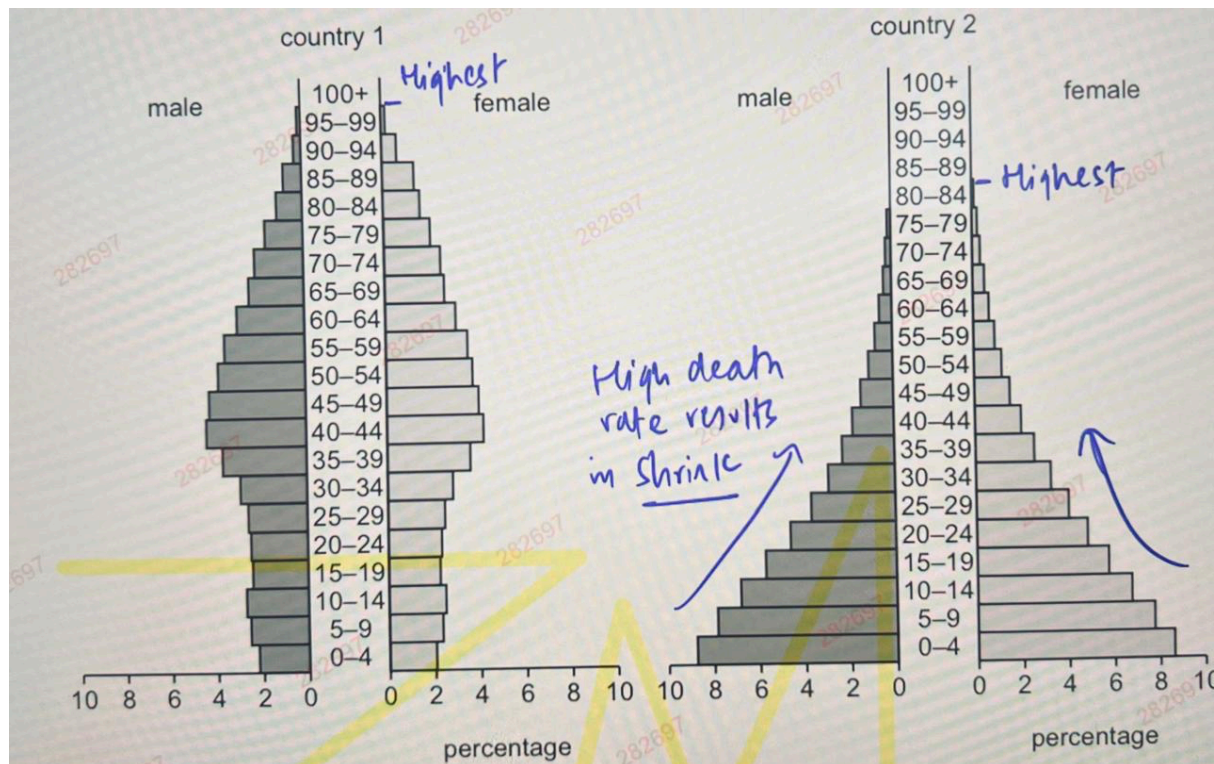
24-D:

Progressive taxation means higher tax rates for those with higher income or more wealth, so that those who earn or have more are taxed at a higher rate.

This taxation brings more equality as it impacts richer people and collects more income from them and thus this collection could be spent on the poorer households. Therefore the distribution of income is more even. Now, we have found out our two Option C and D correct.

Moreover, this distribution of income will raise the living standard as such income can be spent on health, education and other social services. Hence option D is correct.

25-B:



A- data is in %

B- yes, people living more than 95 years in country 1 than county 2

C- no, higher death rates in country 2 as the population is shrinking (see the arrows)

D-no information given

26-B:

GDP per capita is a measure of the total economic output of a country per person. It is calculated by dividing the country's gross domestic product (GDP) by its total population.

GDP per head= GDP/total population

A $600/3=200$

B $700/2=350$

C $12000/4=300$

D $15000/100=150$

Country B has the highest GDP per head

27-C:

International specialization, where countries focus production on specific goods and services, is driven by several key factors, primarily comparative advantage and economies of scale. This leads to increased efficiency, lower production costs, and greater global output. There are no tools of protectionism.

A- it doesn't relate to international specialisation

B- it's related to the large firm, where ATC rises

C- yes, free trade encourages as lower prices

D- tool of protectionism and discourage the international specialisation

28-B:

A- embargo is a trade barrier imposed by one country or group of countries on another, typically involving a complete ban on trade or other commercial activity.

B- An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the goods may be brought into the country during a specified time period. This policy would be effective as it limits the number of cars coming into the country

C- tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic ones goods and services, thus protecting domestic industries.

D- Export subsidy is a government policy to encourage export of goods and discourage sale of goods on the domestic market through direct payments, low-cost loans, tax relief for exporters, or government-financed international advertising.

29-B:

A- a fall in rate of inflation, will increase the demand of exports of Indian goods and demand for Indian rupees increases

B- more imports, then more payments made in Indian rupees. Thus results in an increase in supply of Indian rupees. Therefore it is cause of change in exchange rate that is shown in the diagram

C- more FDI and the demand for Indian rupees increases in future and doesn't affect the supply of rupees

D- purchase of its own currency will increase the demand not the supply

30-A:

Current account is defined as the sum of the balance of trade (goods and services exports minus imports), net income from abroad, and net current transfers.

$200 - 25 - 50 - 75 = \$50m$